NYU

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IES for labor in RMT4?

2 messages

Lars Ljungqvist <Lars.Ljungqvist@hhs.se> Thu, Jun 8, 2017 at 8:42 PM
To: "thomas.sargent@nyu.edu" <thomas.sargent@nyu.edu>

Dear Tom,

Inspired by my exchange with Eric French in Seoul, I have written a piece on the intensive margin at the end of our RMT chapter on the Foundations of Aggregate Labor Supply. Let's see if you think it should be included in RMT4. (Since I had not taken custody of this chapter from the directory RMT4_2017, the addition can also be inserted into any version that you might have.)

Instead of Rogerson and Wallenius's preference specification with a constant IES for leisure, the section uses a specification with a constant IES for labor. The latter specification lends itself to closed-form solutions and the implications become even starker since the IES for labor must now be at least 2.5. At the backdrop of our alternative preference specification (that blends those two utility functions), the readers will find it even more incredible to swallow RW's functional-form dependent argument and conclusion that "based on existing estimates of the size of nonconvexities and measures of full-time work prior to retirement, it is hard to rationalize [low] values of the IES."

Actually, it is sad that Blundell, French and Tetlow bought into RW's argument in the Handbook chapter that Eric sent us: "Rogerson and Wallenius (2013b) show that either fixed costs must be large or labor supply very elastic (with an intertemporal elasticity of substitution of labor supply in the range of 0.75) in order to explain the abruptness of retirement."

So it was great that we got the opportunity to help Eric see the fallacy of RW's reasoning. Eric got quite engaged and he asked me for the intuition behind our counterexample. Based on that exchange, you will see that I have added some intuition in the attached section.

I'll await your comments before sending the section to Eric. It's good to take this opportunity to solidify Eric's appreciation of the difference between our result on a high IES at the extensive margin versus RW's claim about a high IES at the intensive margin.

Adding to our earlier attempt to advance the discourse on the fiscal theory of the price level, we might now use RMT to illuminate the ongoing exchange in micro-macro labor.

Lars

5 attachments

IES_intensive_margin.pdf
182K

macrolaborII.tex
135K

Disutil_eff_labor.eps
124K

Disutil_fixedcost.eps
20K

Disutil_serv.eps
83K

Thomas J Sargent <thomas.sargent@nyu.edu> Thu, Jun 8, 2017 at 11:50 PM
Reply-To: thomas.sargent@nyu.edu
To: Lars Ljungqvist <Lars.Ljungqvist@hhs.se>

Dear Lars, Thanks for these exciting documents and the explanation.
I will study them carefully on the way home to the US tomorrow and after that too. I will feel free to edit them too if that is ok with you.

Tom
[Quoted text hidden]